PONDICHERRY UNIVERSITY
RAMANUJAN SCHOOL OF MATHEMATICAL SCIENCES
DEPARTMENT OF STATISTICS

M.Sc. QUANTITATIVE FINANCE

MSQF 535: Global Financial Management

LECTURE NOTES ON

Global Financial Management

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MSQF 535: GLOBAL FINANCIAL MANAGEMENT CREDITS: 4

Course Objectives:

- *The aim of this course is to provide an understanding of the fundamental concepts and managerial issues pertaining to international finance.*

Course Outcomes (COs):

CO1: Understand the global financial landscape: Comprehend the roles and functions of international financial institutions and development banks like the World Bank, IMF, and ADB, as well as the process of internationalization.

CO2: Analyze foreign exchange markets and rates: Explain the mechanisms of the foreign exchange market, including spot and forward markets, cross-rates, bid-ask spreads, and apply theories determining exchange rates.

CO3: Manage foreign exchange exposure: Evaluate and manage various types of foreign exchange exposure (translation, transaction, and economic) using different methods and strategies.

CO4: Assess multinational firm's financial management: Analyze foreign direct investment decisions, cost of capital, capital structure, budgeting, cash management, country risk, and international taxation for multinational firms.

CO5: Evaluate international financing operations: Understand the characteristics and instruments of Eurocurrency markets, interest rate and currency swaps, depository receipts (GDR and ADR), and the implications of the Euro for India.

Unit-I: International Finance Overview & Institutions

International Finance — overview — International Financial Institutions/Development Banks — World Bank — IBRD — IDA — IFC — MIGA — International Monetary Fund — Special Drawing Rights — Asian Development Bank — Internationalization process.

Unit-II: The Foreign Exchange Market

The Foreign Exchange Market — SWIFT — Arbitrage — Spot market — Forward market — Cross rates of exchange — Bid — Ask spreads — Balance of payments — Foreign exchange rates — Theories of Foreign Exchange Rate.

Unit-III: Foreign Exchange Exposure and Management

Foreign exchange exposure and management — Management of translation exposure — Methods — Management of transaction exposure — Management of economic exposure — Methods — Strategies.

Unit-IV: Financial Management of the Multinational Firm

Financial Management of the Multinational Firm — Foreign direct investment — Cost of capital and capital structure of the multinational firm — Multinational capital budgeting — Multinational cash management — Country Risk Analysis — International Taxation.

Unit-V: Financing Foreign Operations

Financing Foreign Operations — Eurocurrency markets — Instruments — Interest rate swaps — Currency swaps and its pricing — Depository receipts — GDR and ADR — Euro and its implications for India.

Books for References:

1. Buckley, A. (1992): *Multinational Finance*, Prentice Hall, New Jersey.
2. Levich, R. M. (2001): *International Financial Markets: Prices and Policies*, McGraw Hill, New York.
3. Vij, M. (2001): *Multinational Financial Management*, Excel Books, New Delhi.
4. Shapiro, A. C. (1996): *Multinational Financial Management*, Prentice Hall of India, New Delhi.
5. Apte, P. G. (1999): *International Financial Management*, Tata McGraw Hill Publishing Company Ltd.
6. Jain, P. K., et al. (1998): *International Financial Management*, Macmillan, New Delhi.
7. Eun, C. S., & Resnick, B. G. (2001): *International Financial Management*, Irwin McGraw Hill, Singapore.

COs	PO1	PO2	PO3	PO4	PO5
CO1	XXX	X	X	X	XX
CO2	XX	X	XX	X	X
CO3	X	XX	XX	X	X
CO4	XX	X	XX	XX	X
CO5	XXX	X	X	XX	XX

Contents

Chapter 1

International Finance

1.1 International Financial Institutions

Lecture
18/08/2026

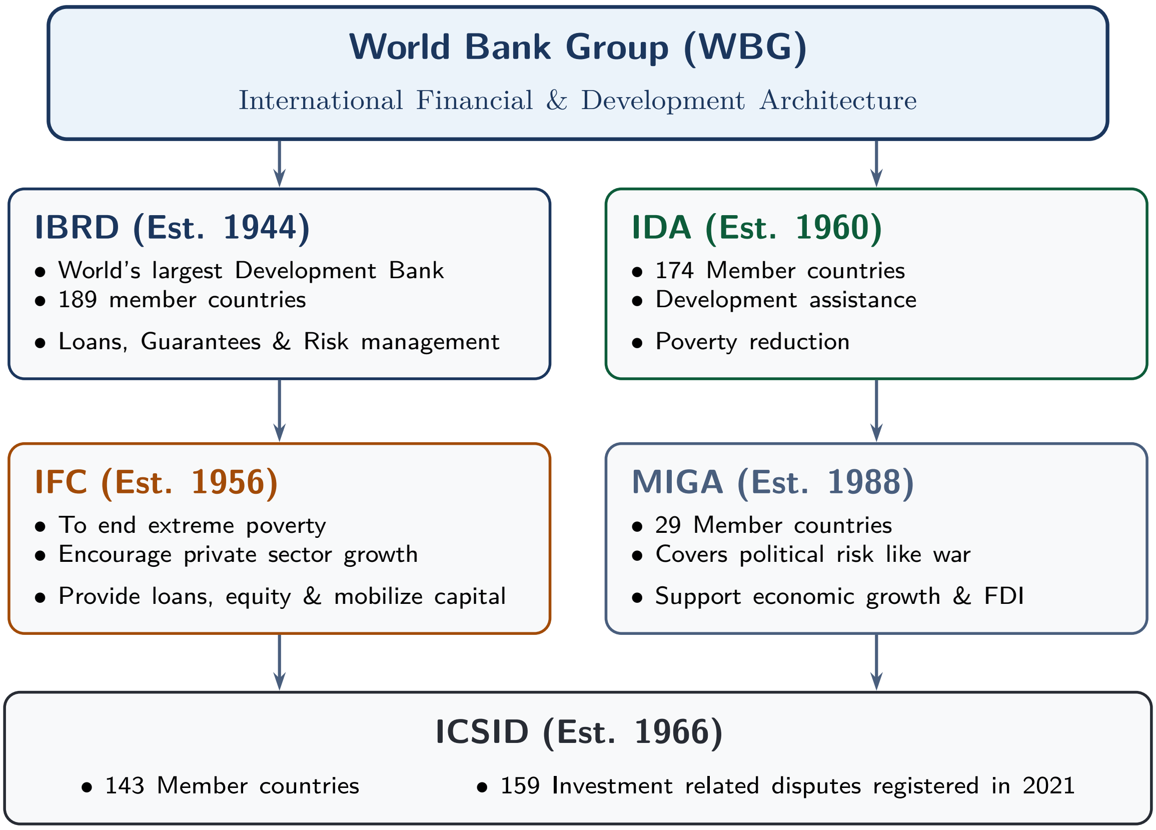

Figure 1.1: Constituent Institutions of the World Bank Group

1.1.1 1. IBRD (International Bank for Reconstruction and Development)

Institutional Profile: IBRD

- World's largest Development Bank.
- **Membership:** 189 countries member in this organisation.

Mission:

- Providing loans.

- Guarantee, Risk management products, advisory services for middle income and credit worthy and low income countries.
- Coordination responses to regional and global challenges.

1.1.2 2. IDA (International Development Association)

Institutional Profile: IDA

- **Established:** Formed in 1960.
- **Purpose:** Development assistance and poverty reduction.
- **Membership:** 174 Member of countries.

1.1.3 3. IFC (International Finance Corporation)

Institutional Profile: IFC

- **Established:** Established on 1956.

Mission:

- To end extreme poverty.
- To encourage private sector growth in developing countries.

Objective:

- **Investment money:** Provide loans and equity investment.
- **Mobilize capital:** Through commercial bank.
- **Provide advice:** Related to better policies, high environmental and social standards.

1.1.4 4. MIGA (Multilateral Investment Guarantee Agency)

Institutional Profile: MIGA

- **Established:** Established in 1988.
- **Membership:** 29 countries are member in this organisation.

Motives:

- MIGA covers political risk like war.

Objective:

- Support economic growth by encouraging FDI.
- Provides advisory services to help the developing countries.

1.1.5 5. ICSID (International Centre for Settlement of Investment Disputes)

Institutional Profile: ICSID

- **Established:** Established on 1966.
- **Membership:** It had 143 Member countries.
- **Disputes:** Total disputes registered on 2021, almost 159 investment related disputes.

1.2 World Bank: Operations, Funds, and Advisory Services

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1.2.1 1. Area of Operation

1. Agriculture and rural development
2. Economic policy
3. Education
4. Energy
5. Environment
6. Financial sector
7. Swift system
8. Health, nutrition
9. Information, telecommunication
10. Law and justice
11. Trade related issues
12. Social protection
13. Private sector
14. Trade
15. Water resource
16. Sanitation

1.2.2 2. Fund Related Operations

Fund Generation:

- IBRD
- IDA
- World Bank Treasury

Through Loans:

- Investment loans
- Development policy loans

Grants, Relief, and Targeted Initiatives:

- Provide grants
- Provide relief on debt
- For improving sanitation and water supply
- Support of vaccination or immunisation program
- HIV and AIDS pandemic
- Initiate to cut the green house effect

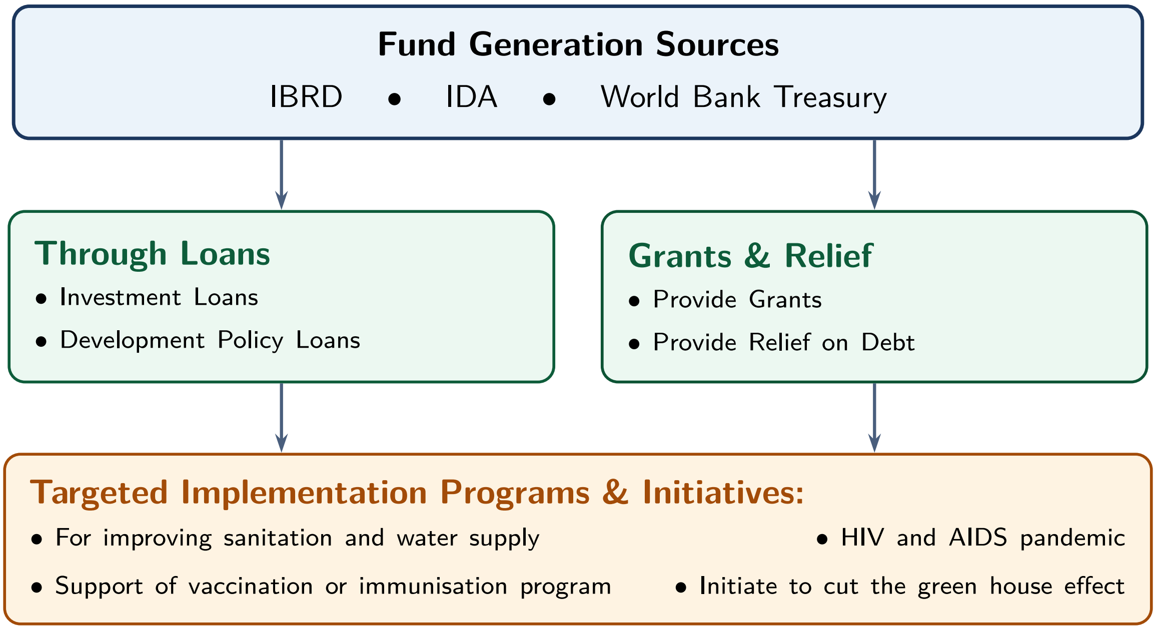

Figure 1.2: World Bank Fund Related Operations Flowchart

1.2.3 3. Analytics or Advisory Services

- Analytical support for poverty assessment
- Public expenditure reviews
- Country economic memoranda
- Social and structural reviews
- Sector reports
- Topics in development
- Capacity building
- Advisory service
- Global development learning network
- Global and regional programs

1.3 Governance and Bank Related Activities

Lecture
24/08/2026

1. Sovereign Representation

- Ministry of Finance is the representative of World Bank (meetings held once in a year)

2. Key Shareholding Structure

- **Largest Shareholders:** US • UK • France • Japan • Germany

3. Executive Leadership

- President is elected by board of governors of 5 shareholders

4. Bank Related Activities & Core Functions

- **Approval of loans**
- **Approve guarantee**
- **New policies**
- **Country assistance strategy**
- **Borrowing and financial decisions**

Figure 1.3: World Bank Governance Structure and Core Activities

1.3.1 1. Governance & Representation

- Ministry of finance is the representative of world bank held once in a year.
- **Largest shareholder:** US, UK, France, Japan, Germany.
- President is elected by board of governors of 5 shareholders.

1.3.2 2. Bank Related Activities

- Approval of loans
- Approve guarantee
- New policies
- Country assistance strategy
- Borrowing and financial decisions

1.4 International Monetary Fund (IMF) & Sustainable Development Goals

Lecture 31/08/2026

Institutional Profile: International Monetary Fund (IMF)

The **International Monetary Fund (IMF)** was established in **1944** at the Bretton Woods Conference to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth, and reduce poverty around the world.

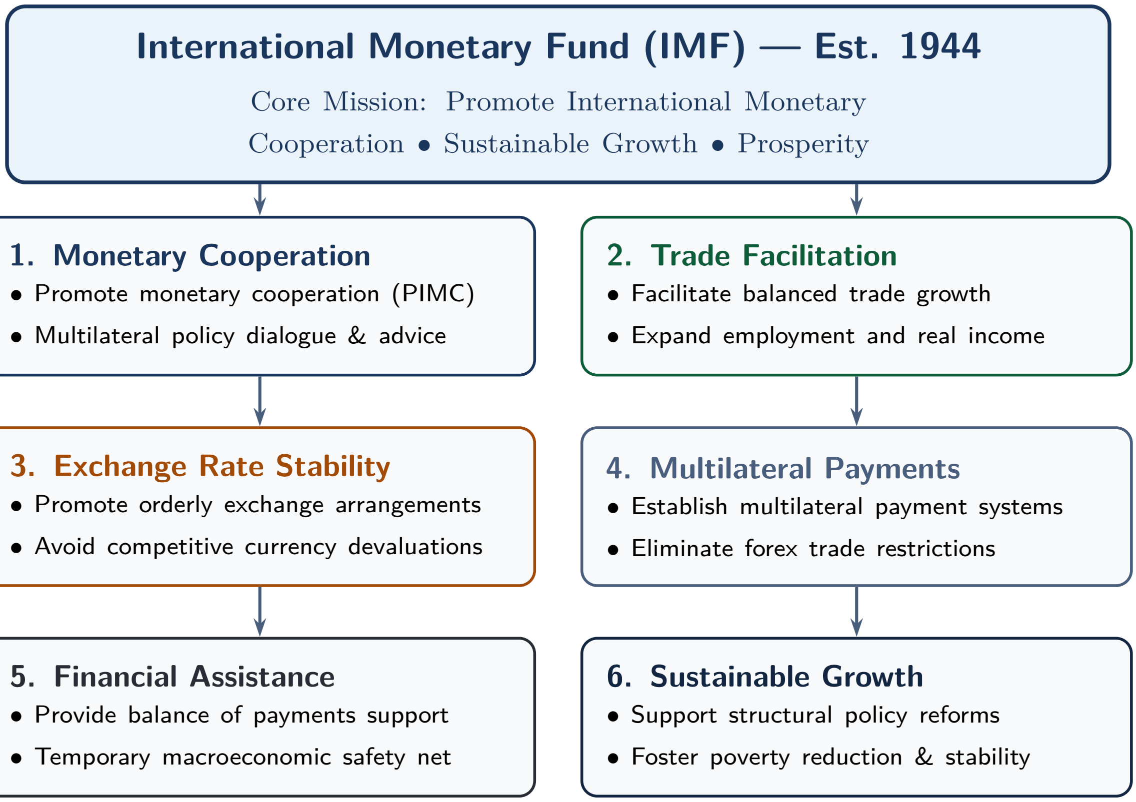

Figure 1.4: Core Strategic Objectives of the International Monetary Fund

1.4.1 1. Core Objectives of the IMF

The International Monetary Fund operates under six foundational statutory objectives:

1. **Promote International Monetary Cooperation (PIMC):** Providing the primary institutional machinery for consultation, dialogue, and collaboration on international monetary problems.
2. **Facilitate International Trade:** Promoting the expansion and balanced growth of international trade, contributing to high levels of employment and real income generation.
3. **Promote Exchange Rate Stability:** Maintaining orderly exchange arrangements among member states and avoiding competitive exchange depreciation.
4. **Establish Multilateral Payment Systems:** Assisting in establishing a multilateral system of payments for current transactions and eliminating foreign exchange restrictions that hamper world trade.

5. **Provide Financial Assistance:** Making its general resources temporarily available under adequate safeguards to members facing balance of payments disequilibria.

6. **Support Sustainable Economic Growth:** Helping countries design and implement resilient macroeconomic policies to foster prosperity and poverty reduction.

1.4.2 2. United Nations Sustainable Development Goals (SDGs)

The global macroeconomic architecture collaborates closely with international institutions to achieve the **17 Sustainable Development Goals (SDGs)** adopted by the United Nations:

#	Goal Name	Core Focus Area
SDG 1	**No Poverty**	End poverty in all its forms everywhere.
SDG 2	**Zero Hunger**	End hunger, achieve food security, and promote sustainable agriculture.
SDG 3	**Good Health & Well-Being**	Ensure healthy lives and promote well-being for all at all ages.
SDG 4	**Quality Education**	Ensure inclusive, equitable education and promote lifelong learning.
SDG 5	**Gender Equality**	Achieve gender equality and empower all women and girls.
SDG 6	**Clean Water & Sanitation**	Ensure availability and sustainable management of water and sanitation.
SDG 7	**Affordable & Clean Energy**	Ensure access to affordable, reliable, sustainable modern energy.
SDG 8	**Decent Work & Growth**	Promote sustained, inclusive economic growth and decent work.
SDG 9	**Industry & Infrastructure**	Build resilient infrastructure, foster innovation and industrialization.
SDG 10	**Reduced Inequalities**	Reduce income and opportunity inequality within and among countries.
SDG 11	**Sustainable Cities**	Make cities and human settlements inclusive, safe, and resilient.
SDG 12	**Responsible Consumption**	Ensure sustainable consumption and production patterns.
SDG 13	**Climate Action**	Take urgent action to combat climate change and its impacts.
SDG 14	**Life Below Water**	Conserve and sustainably use oceans, seas, and marine resources.
SDG 15	**Life on Land**	Protect, restore, and promote sustainable terrestrial ecosystems.
SDG 16	**Peace, Justice & Institutions**	Promote peaceful, inclusive societies and build accountable institutions.
SDG 17	**Partnerships for the Goals**	Strengthen the means of implementation and global partnerships.

Table 1.1: The 17 United Nations Sustainable Development Goals (SDGs)

1.5 Balance of Payments (BOP) & IMF Macroeconomic Functions

Lecture 01/09/2026

Definition 1.5.1: Balance of Payments (BOP)

The **Balance of Payments (BOP)** is a systematic statistical record of all economic and financial transactions conducted between the **residents** of a country and the **rest of the world** during a specified time period (typically a quarter or a financial year).

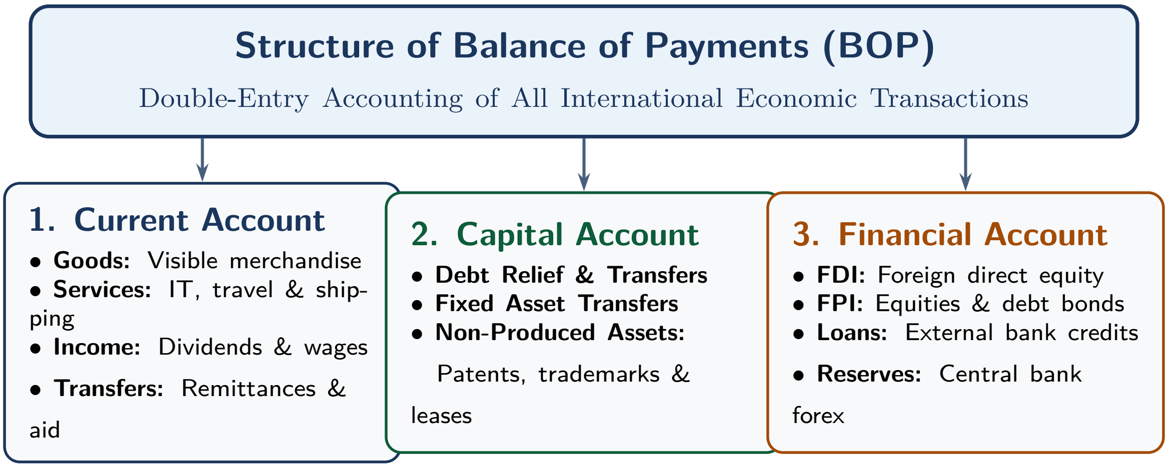

Figure 1.5: Constituent Accounts of the Balance of Payments Framework

1.5.1 1. Structure & Components of BOP Accounts

The Balance of Payments is structured into three primary interrelated accounts:

1. **Current Account:** Records trade in goods and services, investment income, and unilateral transfers:
   - **Export and Import of Goods:** Visible / merchandise trade balance.
   - **Export and Import of Services:** Invisible trade (software services, banking, shipping, tourism).
   - **Primary Income (Investment Returns):** Cross-border investment returns (dividends, interest receipts/payments) and employee wages.
   - **Current Transfers (Secondary Income):** Unrequited unilateral flows including personal remittances, grants, donations, and gifts.
2. **Capital Account:** Records net international capital transfers and non-financial asset movements:
   - **Capital Transfers:** Debt forgiveness, sovereign grants, and migrant asset transfers.
   - **Transfer of Fixed Asset Ownership:** Cross-border transfers of sovereign or institutional fixed assets.
   - **Acquisition / Disposal of Non-Produced, Non-Financial Assets:** Rights to natural resources, patents, trademarks, brand leases, and copyrights.
3. **Financial Account:** Records international transactions in financial assets and liabilities:
   - **Foreign Direct Investment (FDI):** Long-term controlling equity investments in foreign enterprises ($> 10\%$ voting power).

- **Foreign Portfolio Investment (FPI):** Cross-border investments in equity shares, corporate debt, and sovereign bonds for yield rather than managerial control.
- **Other Investments:** Commercial bank lending, official bilateral loans, and trade credits.
- **Changes in Foreign Exchange Reserves:** Official reserve asset transactions managed by the Central Bank to stabilize the currency.

1.5.2 2. BOP Disequilibrium: Surplus vs. Deficit

- **BOP Surplus:** Occurs when autonomous international receipts exceed total autonomous payments:

$$\begin{aligned}&\text{Total Receipts} > \text{Total Payments}\\&\qquad \implies \text{Net Inflow of Foreign Currency / Reserve Accumulation}\end{aligned} \tag{1.1}$$

- **BOP Deficit:** Occurs when autonomous international payments exceed total receipts:

$$\begin{aligned}&\text{Total Payments} > \text{Total Receipts}\\&\qquad \implies \text{Net Outflow of Reserves / External Debt Expansion}\end{aligned} \tag{1.2}$$

1.5.3 3. Causes and Remedial Measures for BOP Deficits

Causes of BOP Deficit

- **Excessive Imports:** Surge in foreign goods
- **Decline in Exports:** Fall in competitiveness
- **Domestic Inflation:** Higher export pricing
- **High Foreign Debt:** Heavy debt servicing
- **Capital Outflows:** Rapid flight to safety
- **Instability:** Macroeconomic uncertainty

Measures to Correct Deficit

- **Export Promotion:** Subsidies, SEZ incentives
- **Import Restrictions:** Tariffs, quotas, licenses
- **Attract Capital:** Incentivize FDI & portfolio
- **Forex Reserves:** Central Bank intervention
- **Monetary & Fiscal Policy:** Demand control
- **Exchange Policy:** Controlled depreciation

Figure 1.6: Macroeconomic Dynamics: Causes and Policy Correctives for BOP Deficit

1.5.4 4. Major Core Functions of the IMF

The International Monetary Fund executes its mandate through three fundamental pillars of macroeconomic intervention:

1. **Surveillance (Economic Health Monitoring):**
    - Conducts bilateral Article IV consultations with member nations.
    - Monitors global, regional, and national economic policies, exchange rate regimes, and systemic financial vulnerabilities.
2. **Financial Assistance (Lending):**
    - Provides balance of payments crisis loans and precautionary credit lines to countries facing external liquidity shocks.
    - Conditions loans on economic stabilization programs and structural policy reforms.
3. **Capacity Development (Technical Assistance & Training):**

- Delivers specialized capacity building and advisory services to central banks, ministries of finance, and statistical agencies.
- Modernizes tax administration, monetary policy frameworks, banking supervision, and macroeconomic data systems.